Sycamore Square — Four Development Options Compared

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Summary

This compares five ways to use the building, in plain money terms: what it costs to get open, what comes in and goes out each year, and how many years it takes to earn the money back. A typical investment property earns back in about 12 years. The goal here is 10 years or less. Building costs are at Memphis prices, with the ownership group managing the work and hiring each trade directly rather than handing the whole job to one general contractor. The purchase price is left out of every number in this version.

- **With the purchase price left out, the efficient full plan and the hybrid earn back faster than a typical property on today's realistic numbers.** At 220 hall events a year (about 4 a week across both halls), the efficient full plan costs about $11.9M to build and open and makes about $1.07M profit a year: about 11.1 years to earn back the money to build it. The hybrid takes about 11.7 years and the full plan as drawn about 13.7. The lean plan, with no halls, earns back in about 9.1 years but makes far less each year (about $388k), and leasing everything takes about 18.5.
- **The halls make or break the project.** The two halls bring in about $2.68M a year and keep about $724k after their own staff, food and running costs. Everything else (shops, flex space, the kids' center and the fuel pad) adds about $347k a year on top.
- **Hall prices now come from Memphis rate cards.** Comparable halls ask about $7,000–9,000 for a 300–400 guest Saturday (The Palace at Cordova $7,000, The Columns $8,550, the Cadre Building $12,200), with Fridays and Sundays at about 80% of that and weekdays at about 60%. The realistic case averages $5,500 per event across all days and adds the 20% service charge Memphis venues put on catering, half of it paid to event staff.
- **Bookings move the numbers most.** One more event a week across the halls adds about $295k of profit a year; $1,000 more per booking adds about $176k.
- **Building it trade by trade saves real money.** If one general contractor did the whole job, the efficient plan would cost about $1.8M more and take about 12.7 years instead of 11.1 to earn back. Code-required work (sprinklers, the voice fire alarm, kitchen hoods, restroom counts, heating and air for large crowds, structural engineering) stays in full either way.
- **Opening up the halls costs about $0.7M.** Removing the 4 columns inside the two hall rooms with steel beams is budgeted at about $175k per column, with the ownership group hiring the steel fabricator and structural engineer directly. Delivered by a general contractor at national prices, the same work runs about $275k per column. A structural engineer must confirm it.
- **Each main room gets a movable wall.** The average wedding has about 117 guests and most Memphis halls hold 100–350, so each 11,000 SF room can split into two for 150–350 guest events. That is what makes 220 events a year realistic; without it, bookings could stay near 120–160 a year.
- **A real path to profit exists.** One more event a week, $1,000 more per booking, $60k less year-round staff, resealing instead of repaving the parking lot, and caterers bringing their own kitchen equipment bring the efficient plan to about 6.9 years with open, column-free halls (6.4 years if the columns stay). The hybrid reaches about 6.8 years (6.6 if Hall A's columns stay).

- **Recommended path:** aim for the efficient full plan, but start with the hybrid. Build Hall A, its kitchen, the dining room and the kids' center first, lease the rest as-is, and build Hall B only after Hall A proves about 100 or more events a year. That keeps about $2.6M of Hall B work off the table until the demand is real.
- **Two risks need answers before any commitment.** The worst case loses money every year in every hall plan (slow bookings and higher costs together). And if the halls are approved for very large chairs-only crowds, the building can fall under a stricter earthquake standard that could cost more than the column work. Capping each hall's posted capacity should avoid it; the City and a structural engineer should confirm.

A layout alternative is under study: the same program flipped, with the halls at the north end (Hall A entering from the north lot off Pleasant View Rd, Hall B from the east lot) and the stores at the south end. It costs and earns about the same; the choice comes down to how far apart the two hall entrances are (useful when two events run at once), store visibility and flood exposure.

The four plans

All the plans use the same four parcels and keep the existing building. They differ in how much is built at once and who runs what. In every plan with halls, the owners' operating company runs Hall A and Hall B, a playground operator leases the kids' center, and a fuel company ground-leases the fuel pad. A fifth line, "Lease everything", shows the same building with every space leased, including the halls to an outside operator, so the owners can see what running the halls themselves is worth. In every plan the ownership group manages the building work itself and hires each trade directly.

Plan	What gets built	Opens in	Who runs what
1. Full plan (as drawn)	Everything at once: Hall A and Hall B with twin kitchens and dining, the 18,000 SF kids' playground, about 22 small shops, flex space split for tenants, and the fuel pad. The 4 columns inside the two hall rooms are removed with steel beams, and each main room gets a movable wall so it can host one large event or two 150–350 guest events	About 18 months	Owners' operating company: halls. Tenants: shops, flex, kids' center, fuel
2. Full plan, built efficiently	Same final uses, built leaner: 12 larger shop bays instead of 22; flex left open until leased; roof repaired and coated where sound instead of replaced; heating and air replaced only for the halls and kids' center; existing restrooms reused where possible; hall furniture and kitchen equipment leased; the kids' operator pays for its own fit-out. The 4 hall columns are removed with steel beams, and the movable walls stay	About 15 months	Same as plan 1
3. Hybrid (phased)	Phase 1: Hall A with its movable wall, Kitchen A, the dining room and the kids' center. The other 81,000 SF or so, including the future Hall B, is leased as-is on short leases. Phase 2 (realistic: year 3): Hall B and Kitchen B, once Hall A books about 100 events a year. Shop fronts are cut only when tenants sign	About 10 months for phase 1	Owners' operating company: halls. Tenants: kids' center, as-is space, fuel
4. Lean hold	No halls yet. Repair the roof, heating and air, fire systems and parking; split the building into 3–6 large blocks; lease them as-is to service, showroom, church, school, medical or back-office users; ground-lease the fuel pad. The halls stay an option for later	About 6 months	Tenants only
For comparison: lease everything	The full program, but an outside operator leases the halls and pays rent	About 18 months	Tenants only

Plan 3 is the meeting point of the two ideas. It opens the first hall within a year, but it leaves Hall B and the shop fronts until demand is proven.

Results: what it costs, what it makes, how long to earn back

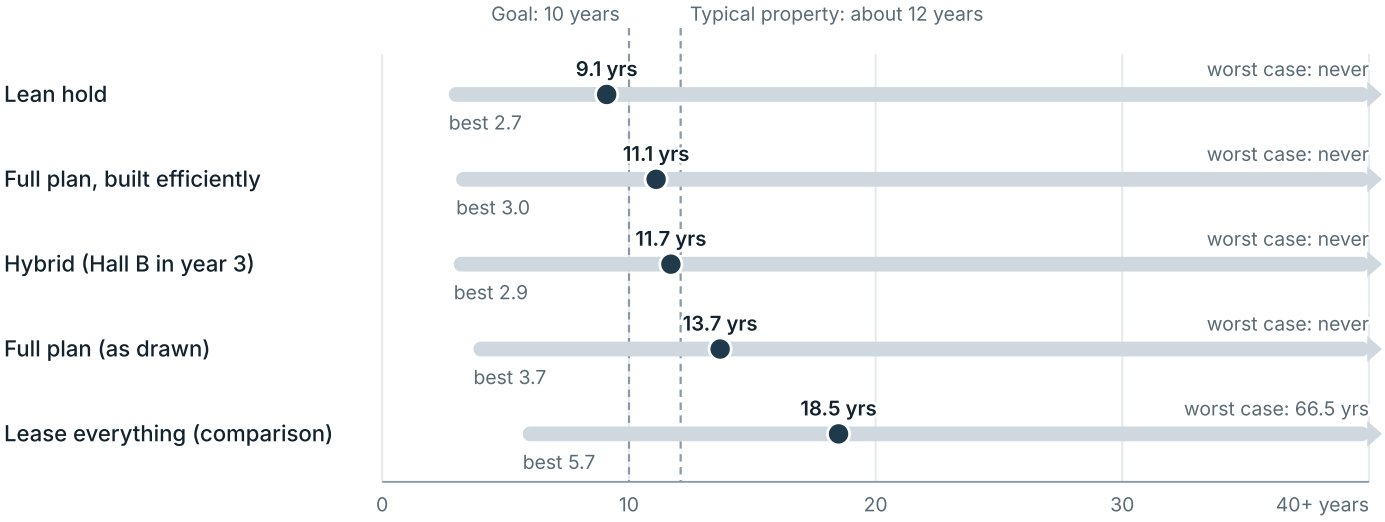
Each plan is shown in three cases. The worst, realistic and best cases use different costs, rents and hall bookings. "Money to build it" covers the building work, the hall fit-out, design, permits, contingency, leasing costs, and holding costs and loan interest while building. It leaves out the purchase price, closing costs and fees. "Profit each year" is the money coming in minus the money going out once everything is open and settled, before any loan payments.

Plan	Money to build it, purchase price left out (worst / **realistic** / best)	Profit each year	Years to earn back	Profit each year for every $100 spent
Lean hold	$6.1M / **$3.5M** / $2.2M	−$11k / **$388k** / $837k	never / **9.1** / 2.7	−$0.18 / **$11.04** / $37.51
Full plan, built efficiently	$19.6M / **$11.9M** / $7.5M	−$261k / **$1.07M** / $2.54M	never / **11.1** / 3.0	−$1.33 / **$8.98** / $33.70
Hybrid (Hall B in year 3)	$13.9M / **$10.6M** / $6.7M	−$313k / **$903k** / $2.33M	never / **11.7** / 2.9	−$2.25 / **$8.52** / $35.04
Full plan (as drawn)	$24.9M / **$15.2M** / $9.3M	−$200k / **$1.11M** / $2.50M	never / **13.7** / 3.7	−$0.80 / **$7.30** / $26.83
Lease everything (comparison)	$19.9M / **$11.8M** / $7.2M	$299k / **$638k** / $1.27M	66.5 / **18.5** / 5.7	$1.50 / **$5.40** / $17.56

Hybrid, phase 1 only (before Hall B): money to build it $13.9M / **$8.0M** / $5.0M; profit each year −$313k / **$504k** / $1.45M; earns back never / **15.9** / 3.5 years. Hall B adds about $2.6M in year 3 in the realistic case. In the worst case Hall B is never built, so the hybrid's worst figures above are phase 1 alone.

Even with the purchase price left out, the hall plans take about 11 to 13½ years to earn back

Years to earn back the money to build it. Grey bar: best case to worst case. Dot: realistic case.



Sycamore Square model v2.4, 18 Oct 2026 · worst / realistic / best cases · purchase price, closing costs and fees left out

The best cases earn back in about 2½ to 5½ years (3 to 3½ in the hall plans), which is why the project is tempting. The worst cases never earn back in any hall plan, which is why it needs evidence before money is

committed. Whatever is paid for the property adds to the money to build it and lengthens every payback here. It weighs most on the lean plan, which spends the least.

If one general contractor did everything. The figures above assume the ownership group manages the work and hires each trade directly. Handing the whole job to one general contractor adds its overhead and profit, typically 11–22% of the building work (realistic case, Memphis prices):

Plan	Money to build it: trade by trade	One general contractor	Difference	Years to earn back: trade by trade	One general contractor
Lean hold	$3.5M	$3.9M	$0.4M	9.1	10.0
Full plan, built efficiently	$11.9M	$13.7M	$1.8M	11.1	12.7
Hybrid (Hall B in year 3)	$10.6M	$12.3M	$1.7M	11.7	13.5
Full plan (as drawn)	$15.2M	$17.5M	$2.3M	13.7	15.6
Lease everything (comparison)	$11.8M	$13.6M	$1.8M	18.5	21.3

Where the money comes from and where it goes each year (realistic)

This is the realistic case once everything is open and settled. The hall numbers assume 220 events a year across both halls (about 4 a week), reached in the third year of operation; an average room rental of $5,500 across all days (Saturdays higher, weekdays lower, after off-peak and late-date discounts); in-house catering at 55% of events for about 300 guests at $32 a head, plus a 20% service charge on catering, half of it paid to event staff; and a $750 kitchen fee when a family brings its own caterer.

Each year	Full plan, built efficiently	Hybrid (after Hall B opens)
Money coming in		
Shop rents	$335k	–
Flex space rents	$125k	–
Rents from as-is space	–	$256k
Kids' center rent	$81k	$81k
Fuel pad ground rent	$95k	$95k
Tenants repay their share of tax, insurance and upkeep	$213k	$184k
Hall bookings: room rental	$1.21M	$1.21M
Hall bookings: catering	$1.16M	$1.16M
Hall bookings: service charge on catering	$232k	$232k
Hall bookings: kitchen fees from outside caterers	$74k	$74k
Total coming in	**$3.53M**	**$3.29M**
Money going out		
Allowance for empty-space gaps and unpaid rent	$19k	$13k
Property tax	$141k	$94k

Each year	Full plan, built efficiently	Hybrid (after Hall B opens)
Insurance, including flood	$89k	$89k
Upkeep: parking lot, lighting, landscaping, common areas	$179k	$179k
Property management	$41k	$30k
Set-aside for roof and AC repairs	$32k	$32k
Halls: food for catered events	$360k	$360k
Halls: catering staff	$325k	$325k
Halls: service charge paid to event staff	$116k	$116k
Halls: event-day staff (setup, cleaning, security)	$264k	$264k
Halls: card fees, marketing, supplies, repairs	$268k	$268k
Halls: year-round staff, utilities, insurance, equipment lease	$621k	$621k
Total going out	**$2.46M**	**$2.39M**
Profit each year, before loan payments	**$1.07M**	**$903k**

Before Hall B opens, the hybrid makes about $504k a year. Hall A alone books about 100 events and keeps about $206k after its own costs, and the future Hall B space earns as-is rent in the meantime.

Other plans, each year	Money coming in	Money going out	Profit each year
Full plan (as drawn)	$3.58M	$2.47M	$1.11M
Lean hold	$846k	$458k	$388k
Lease everything (comparison)	$1.18M	$544k	$638k

- **Full plan:** the halls own their furniture and kitchen equipment instead of leasing it. Their running costs therefore include a 3% set-aside to replace that equipment ($348k in the card fees, marketing, supplies and repairs line), while the year-round line is lower ($561k).
- **Lean hold:** all of the income is rent: about 86,000 SF of as-is space at $5.75/SF (70% of the building leased), plus the fuel pad.
- **Lease everything:** an outside hall operator could afford only about $2/SF a year in rent after earning a fair return on its own fit-out. The halls then bring in about $95k a year of rent, against about $724k of profit when the owners run them.

The one-time money, item by item (realistic)

Everything that has to be paid before the plan is open and settled, leaving out the purchase price, closing costs and fees. Building items are at Memphis prices, with the ownership group hiring each trade directly.

One-time item	Efficient	Hybrid	Lean	Full	Lease everything
Roof	$467k	$467k	$431k	$727k	$727k
Heating and air conditioning	$614k	$417k	$307k	$921k	$921k
Sprinklers	$258k	$219k	$70k	$300k	$300k

One-time item	Efficient	Hybrid	Lean	Full	Lease everything
Fire alarm (voice evacuation for large crowds)	$450k	$407k	$117k	$450k	$450k
Demolition inside the building	$282k	$172k	$78k	$350k	$350k
New shop fronts	$301k	–	–	$551k	$551k
New entrances and canopies	$352k	$235k	$94k	$470k	$470k
Walls between tenants	$207k	$190k	$225k	$533k	$533k
Restrooms	$587k	$376k	$117k	$783k	$783k
Electrical	$407k	$313k	$157k	$470k	$470k
Plumbing	$172k	$125k	$47k	$196k	$196k
Parking lot repair and repaving	$431k	$431k	$258k	$449k	$449k
Site work and landscaping	$235k	$219k	$117k	$313k	$313k
Outside walls and paint	$235k	$196k	$117k	$313k	$313k
Stormwater detention	$78k	$78k	–	$78k	$78k
Flood compliance	$196k	$196k	$196k	$196k	$196k
Removing the hall columns (steel beams)	$700k (4)	$350k (2)	–	$700k (4)	$700k (4)
Movable walls that split each main room	$235k	$117k	–	$235k	–
Hall and kitchen fit-out	$3.43M	$2.01M	–	$3.93M	–
Design, permits and contingency (unknowns)	$1.06M	$767k	$397k	$1.53M	$1.48M
Tenant fit-out help and leasing commissions	$747k	$503k	$621k	$1.14M	$1.90M
Holding costs and loan interest while building	$491k	$244k	$164k	$569k	$641k
Hall B and Kitchen B in year 3 (incl. its movable wall and 2 more columns)	–	$2.57M	–	–	–
Total	**$11.93M**	**$10.60M**	**$3.51M**	**$15.21M**	**$11.82M**
If one general contractor did everything (not counting the purchase)	$13.70M	$12.28M	$3.89M	$17.49M	$13.58M

- **Building items** cover the whole 127,634 SF building. The efficient and hybrid plans repair and coat the roof where it is sound, replace heating and air only where the halls and kids' center need it, and reuse restroom cores.
- **Memphis prices, trade by trade.** National cost-guide prices are multiplied by 0.89 (the RSMeans 2025 city cost index for Memphis is 89.4) and then taken about 12% below a general contractor's price, because the ownership group manages the job and hires each trade itself (5% in the worst case, 18% in the best).

Code-required work stays in full: sprinklers, the voice fire alarm, hoods and grease trap, restroom counts, heating and air sized for large crowds, and structural engineering.

- **Removing the hall columns** is carried at about $175k per column (range $85k–300k). That covers new steel beams about 89 ft long, temporary supports while each column comes out, stronger footings under the columns that pick up the extra load, special inspection and engineering, at Memphis prices with no general contractor's fee. Delivered by a general contractor at national prices, the mid estimate is about $275k per column; the closest documented job cost about $207k–480k per column.
- **Movable walls** are an allowance of about $117k per main room for an acoustic folding wall that splits the room in two. A supplier quote should confirm it.
- **Hall and kitchen fit-out** covers finishes, ceilings, lighting, sound, flooring and the two kitchens (hoods, grease trap and equipment). That is about $55/SF for the hall areas and $235/SF for the kitchens in the efficient plan, and $63 and $274 in the full plan, where the equipment is bought rather than leased.
- **Design, permits and contingency** is 7% for design and permits plus a 10% cushion for surprises on the building items in the efficient plan (7% plus 12% in the full plan). The cushion is not reduced for managing the work directly: that moves coordination risk onto the owners.
- **The range is wide.** The efficient plan's one-time money is $19.6M in the worst case and $7.5M in the best case. Inspections of the roof, heating and air, and structure by the trades that would do the work would narrow it more than anything else.

What drags the profit down

These figures are for the efficient full plan in the realistic case unless another plan is named.

- **The building work is large next to the rents it unlocks.** The efficient plan spends about $6.2M on the building itself before any hall finishes: roof, heating and air, fire systems, restrooms, electrical, entrances, parking, flood work, the $0.7M of column beams and the movable walls. The shops and flex space it readies bring in about $459k a year of rent.
- **The hall fit-out is the second-biggest check.** It is about $3.4M for finishes, lighting and two kitchens ($3.9M in the full plan). The halls keep about $724k a year after their own staff, food and running costs, so the fit-out alone takes about 4½ years of hall profit to repay.
- **The halls carry heavy fixed costs.** They spend about $621k a year on managers, sales staff, utilities, insurance and leased equipment, plus about $268k on card fees, marketing, supplies and repairs. Those costs run whether the halls are busy or not, and the halls only break even at about 102 events a year.
- **The owners pay building costs on space that pays no rent.** Tax, insurance and upkeep for the whole property come to about $408k a year, and tenants repay about $213k of it. The other $196k or so falls on the owners, mostly for the owner-run hall space (about 37% of the building) and for empty space.
- **Rents are low for the space being prepared.** Shops rent for about $12.50/SF, flex space for about $6.50/SF and as-is space for about $5.75/SF. New shop fronts, walls between tenants and tenant fit-out help cost about $1.0M, against about $335k a year of shop rent.
- **The extras add up.** Design, permits and the contingency cushion ($1.06M), leasing help and commissions ($0.75M), and holding costs and interest while building ($0.49M) add about $2.3M.
- **The fuel pad may not happen.** The plans count $95k a year of ground rent from a fuel company. At realistic volumes that company would keep only about $4 a year for every $100 it spends on a roughly $3.8M station, so a deal is not assured. Without the fuel and food pads, the efficient plan's payback stretches from about 11 to about 12 years, and the lean plan's from about 9 to about 11 years.

Ways to make more or spend less

Each line changes one thing in the realistic case and shows what happens to the profit, the one-time money and the years to earn back. They are not all possible at once. The combined path at the end picks the ones that can go together.

Full plan, built efficiently. Today: $1.07M profit a year on $11.93M; earns back in 11.1 years.

Change (one at a time)	Profit each year	One-time money	Earns back in	Note
One more event a week across the halls (+52 a year)	+$295k	+$87k	8.8 yrs	Weddings, engagements, corporate and community events
Charge $1,000 more per hall booking	+$176k	+$84k	9.6 yrs	Comparable Memphis halls ask $7,000–9,000 on a Saturday; premium venues $10,000–12,000
Cater 10% more of the events in-house	+$60k	+$29k	10.6 yrs	In-house catering earns more than an outside-caterer kitchen fee
Charge $5 more per guest for catering	+$63k	+$30k	10.5 yrs	Memphis buffets run $18–35 per guest and plated meals $28–52
Run the halls with $60,000 less year-round staff	+$53k	+$25k	10.6 yrs	Owner-managed, with part-time event staff
Shops 95% leased instead of 85%	+$41k	+$79k	10.8 yrs	Needs strong anchors or a busy hall complex
Kids' center pays $6.00/SF instead of $4.50	+$22k	+$23k	10.9 yrs	Depends on the playground operator's sales
Add a food pad on Summer Ave (about $70,000 a year of ground rent)	+$57k	+$60k	10.6 yrs	Needs a restaurant tenant and the 5800/5810 Summer pads
Keep the hall columns and decorate around them	–	−$819k	10.4 yrs	Saves the steel beams; each main room keeps 2 columns
Roof needs only repairs and a coating	–	−$279k	10.9 yrs	Only if a roofer confirms the roof is sound
Patch and reseal the parking lot instead of repaving	–	−$202k	11.0 yrs	Keep repaving for the worst areas
Basic hall finishes ($20/SF less)	−$11k	−$643k	10.7 yrs	Simpler ceilings and lighting; décor rented per event
Caterers bring and own the kitchen equipment	−$6k	−$343k	10.9 yrs	Kitchen shell, hoods and grease trap stay with the owners
Insurance shopped 15% cheaper	+$4k	–	11.1 yrs	Tenants repay most of the insurance, so the owners keep little of the saving

Hybrid (Hall B in year 3). Today: $903k profit a year on $10.60M; earns back in 11.7 years.

Change (one at a time)	Profit each year	One-time money	Earns back in
One more event a week across the halls (+52 a year)	+$295k	+$14k	8.9 yrs
Charge $1,000 more per hall booking	+$176k	–	9.8 yrs
Cater 10% more of the events in-house	+$60k	–	11.0 yrs

Change (one at a time)	Profit each year	One-time money	Earns back in
Charge $5 more per guest for catering	+$63k	–	11.0 yrs
Run the halls with $60,000 less year-round staff	+$53k	–	11.1 yrs
Kids' center pays $6.00/SF instead of $4.50	+$22k	+$20k	11.5 yrs
As-is space 85% leased instead of 75%	+$43k	+$63k	11.3 yrs
Add a food pad on Summer Ave (about $70,000 a year of ground rent)	+$57k	+$51k	11.1 yrs
Keep Hall A's columns and decorate around them	–	−$410k	11.3 yrs
Roof needs only repairs and a coating	–	−$279k	11.4 yrs
Patch and reseal the parking lot instead of repaving	–	−$202k	11.5 yrs
Basic hall finishes ($20/SF less)	−$7k	−$420k	11.4 yrs
Caterers bring and own the kitchen equipment	−$3k	−$183k	11.6 yrs
Insurance shopped 15% cheaper	+$4k	–	11.7 yrs

Small one-time increases on income changes come from a slightly larger loan and its interest while building.

The other plans in brief:

- **Full plan:** the hall changes are worth about the same in dollars: one more event a week adds $266k a year and $1,000 more per booking adds $170k. Keeping the columns saves about $0.83M, a roof that only needs coating about $593k, basic hall finishes about $634k, and caterer-owned kitchen equipment about $394k.
- **Lean hold:** getting the as-is space to 85% leased adds about $144k a year and brings the payback from 9.1 to 6.9 years. A food pad adds about $59k a year.
- **Lease everything:** no single change gets it under 17 years.

The combined path to profit. One more event a week across the halls, $1,000 more per booking, $60k less year-round staff, resealing instead of repaving the parking lot, and caterers bringing their own kitchen equipment, with the purchase price left out:

Combined path	Profit each year	Money to build it	Earns back in
Efficient, open halls (columns removed)	$1.67M	$11.45M	6.9 years
Efficient, columns kept	$1.67M	$10.63M	6.4 years
Hybrid, open halls (columns removed)	$1.50M	$10.28M	6.8 years
Hybrid, Hall A's columns kept (Hall B's removed in year 3)	$1.50M	$9.87M	6.6 years
Full plan, open halls	$1.67M	$14.72M	8.8 years

Keeping the columns saves about $0.8M in the efficient plan but leaves 2 columns in each main room, which the owners don't want. Whatever is paid for the property adds to the money to build it and lengthens each of these paybacks.

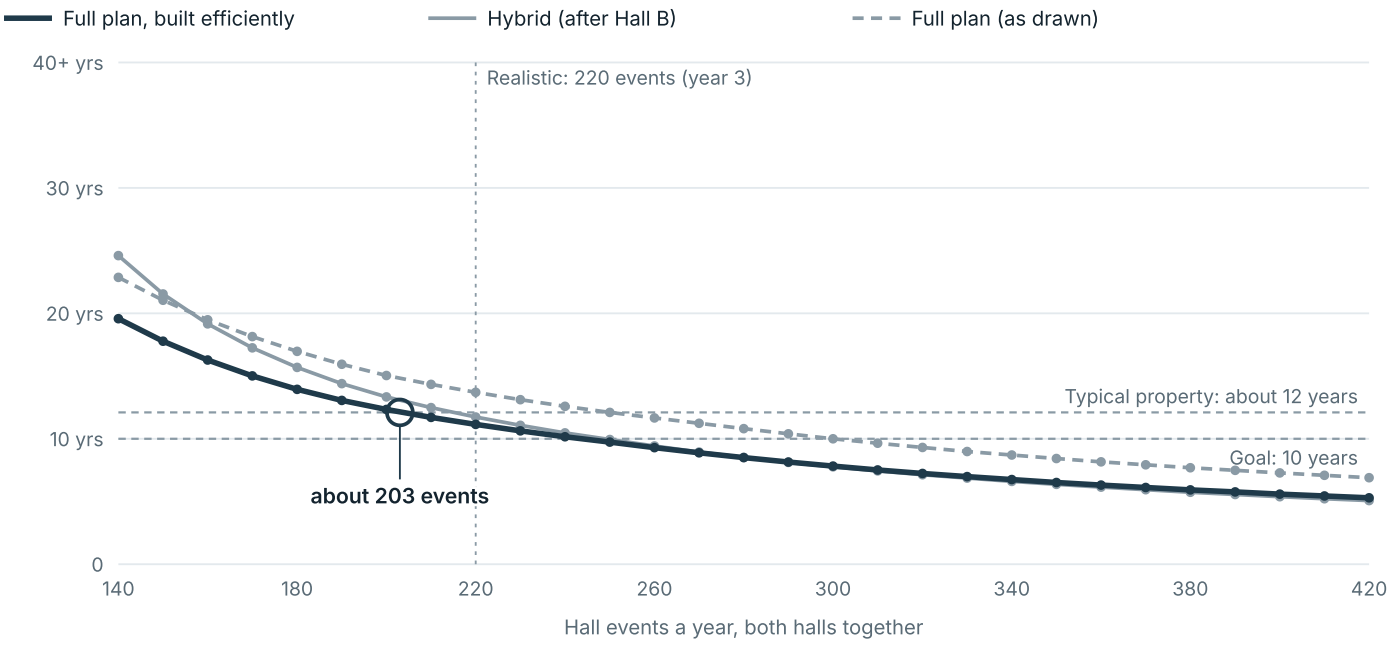
What has to be true for the halls

The halls decide whether this works. The table shows how many events a year the two halls together would need for each plan to earn back the money to build it in about 12 years or in 10 years, with everything else at the realistic numbers and the purchase price left out. Today's realistic case is 220 events a year: about 4 a week across both halls, or 2 per hall. That is a third-year number for a busy, mixed hall: a new hall typically books about 110–140 events in its first year and 170–200 in its second, because couples book their venue 12–18 months ahead. The best case assumes 260 events at higher prices and with more in-house catering.

Plan	Earn back in about 12 years (typical property)	Earn back in 10 years (goal)
Full plan, built efficiently	203 a year (about 4 a week)	243 (about 4½ a week)
Hybrid (after Hall B)	215 (about 4 a week)	248 (about 5 a week)
Full plan (as drawn)	250 (about 5 a week)	300 (about 6 a week)

The efficient plan needs about 203 events a year to earn back in about 12 years

Years to earn back the money to build it, purchase price left out, against hall events a year for both halls together. Everything else at the realistic numbers.



Sycamore Square model v2.4, 18 Oct 2026 · realistic case · purchase price left out · hall events varied from 140 to 420 a year

- **In plain terms:** for the efficient plan to earn back the money to build it in about 12 years, the two halls together need about 203 events a year. That is about 2 events per hall every week of the year at today's assumed prices, about 8% fewer than the realistic case.
- **Prices do part of the work.** $1,000 more per booking is worth about as much as 31 extra events a year.
- **Splitting the rooms matters.** Two rooms have only 104 Saturdays a year between them, so most of the 220 events have to be smaller events on Fridays, Sundays and weekdays: weddings, quinceañeras, corporate, church, community and cultural events. The movable walls let each room host two of those at once.
- **The best case shows the prize.** At the best-case numbers (260 events, higher prices, more catering) the efficient plan earns back the money to build it in about 3 years. Which case the market supports is the real

question, and written commitments from caterers, families and a hall manager, gathered before any money is committed, are the way to find out.

New evidence since the first study

The biggest change is flood: the building's ground sits well above the flood level on most sides. That cuts the expected flood cost from $1.5M to about $0.25M. Eight other findings also change the numbers; the last three are new in this version.

1. Flood elevations (FEMA and USGS data, checked 18 October 2026)

- **Base flood elevation:** FEMA's flood map (panel 47157C0311G, effective 6 February 2013) puts about 74% of the building in Zone AE. The flood source is Fletcher Creek, and the base flood elevation lines next to the building read 248 ft.
- **Ground around the building:** the USGS 1-meter lidar survey (flown in 2017) shows ground of 250–252 ft along about 85% of the walls. That is 2–4 ft above the flood level.
- **The weak spot:** about 240 ft of the rear wall, where the truck docks are, sits at 247.7–248.8 ft, roughly at flood level.
- **What Memphis requires:** a substantially improved building in the flood overlay needs its floor 24 inches above the flood level, which is 250 ft here. If the floor is near 251–252 ft, as the ground suggests, the building already meets that. The main flood cost becomes the survey, the paperwork and fixes at the dock area, not floodproofing the whole building.
- **Removing the building from the flood zone:** that would take a FEMA letter (LOMA). FEMA judges it by the lowest ground touching the building, so the dock area may block it unless that area is regraded or FEMA's exact flood profile there is lower. FEMA issued flood-map letters for three nearby properties in 2021: two buildings were taken out of the flood zone, and one was found to be outside it already.
- **Only a survey can confirm this.**

2. County appraisal (Shelby County Assessor, 2026)

- **Totals:** the four parcels are appraised at $4,928,100. The main parcel carries $1,364,500 of land and $2,994,800 of building.
- **Flood 50% rule:** using the assessor's building value, the threshold is about $1.5M of building work. Site work such as parking does not count. Every plan with halls passes that line, so flood compliance has to be designed in, which is cheap if the floor elevation is confirmed. An independent appraisal can set a higher building value.
- **Ownership and tax:** one company owns all four parcels. Today's tax is about $104,000 a year.

3. Kids' center cost

- **Indoor playground (soft play, climbing, party rooms):** much cheaper to build than a trampoline or ninja park. Kids Empire discloses $0.80–1.77M all-in for 15,000+ SF.
- **The trade-off:** a playground also takes in less, about $1.1M a year realistic against $1.55M for an active park.
- **What changed in the model:** the plans assume a playground operator paying about $4.50/SF plus its share of tax, insurance and upkeep. At that rent the operator keeps about $193k a year on roughly $1.1M invested, about 17.6% a year, and earns it back in about 5.7 years.

4. Listing facts

- **Vacancy:** the building was 51.4% leased when it was last marketed. It is now empty.
- **Parcels:** the 1717 frontage and 5810 Summer are also marketed on their own, so every plan here assumes all four parcels stay together. The county assessor lists the four parcels at 11.72 acres; the county's GIS map outlines add up to 11.88 acres, and a survey settles the difference.
- **Old quick-lube:** a permit dated 31 October 2024 (DEM-24-000379) demolished a 2,000 SF building with its footings on the frontage, which matches the old quick-lube.
- **Road work:** TDOT is widening Summer Avenue and replacing the Fletcher Creek bridge through mid-2028, which will disrupt the Summer Avenue frontage.
- **Stormwater rules:** the site is very likely inside the Fletcher Creek Overlay. New structures there, such as the convenience store, need floors 30 inches above the flood level, and new development needs stormwater detention.

5. Interior columns (1997 drawings and new research)

- **What is there:** the building's 1997 tenant drawings show roof columns on a grid of about 44.5 ft, with 2 columns inside each 11,000 SF hall room. Only those 4 come out; the columns in the kitchens and along the sides stay.
- **The fix:** remove them with steel beams about 89 ft long, with temporary supports while each column comes out and stronger footings under the columns that pick up the extra load. The budget is about $175k per column, $0.7M for all four (range $85k–300k per column), with the ownership group hiring the steel fabricator and structural engineer directly at Memphis prices. Steel itself runs about $5,800–6,450 a ton installed, or roughly $52k–91k per column. Delivered by a general contractor, the mid estimate is about $275k per column, and the closest documented job cost about $207k–480k per column.
- **It has been done before:** a Tulsa ice rink took 36 columns out of an empty mall department store; Christ Church of Northwest Arkansas removed 10 in a former Sears that later served as a call center; Eagle Brook Church opened a 1,000-seat room in a former Kmart; and Chelsea Piers Connecticut cleared 100-ft spans in an old factory.
- **Ceiling height:** the new beams hang below the roof. At least 15 ft of clear height under them would match the main Memphis wedding rooms: the Peabody Grand Ballroom is 15 ft 5 in, the Esplanade 15 ft and the Guest House at Graceland 17 ft.
- **Halls with columns still book:** The Columns at One Commerce Square in Memphis has 22 pillars, seats up to 800 and rents for $8,550 a day, and the Peabody still sells its rooms with columns for banquets. Premium venues advertise open rooms, though, and the owners want them.
- **Only a structural engineer on site can confirm** the roof framing, the footings and the clear height.

6. Hall entrances on different sides (plans R4.2)

- Hall A guests arrive from the east lot through the east wall. Hall B guests arrive from the south lot through the south-facing wall of the Hall B foyer, so the two arrivals no longer share a side of the building and two events can run at once without their guests crossing paths.

7. What Memphis halls charge (venue rate cards, October 2026)

- **Saturdays:** comparable halls ask about $7,000–9,000 for a 300–400 guest Saturday. The Palace at Cordova (12,000 SF, 300 seated) asks $7,000 on Saturday, $6,500 on Friday, $6,000 on Sunday and $5,500 Monday to Thursday, for 11 hours; The Columns $8,550; the Cadre Building $12,200; Memphis Botanic Garden's Hardin Hall $10,000 for 4 hours (2026 rates).

- **Other days:** Fridays and Sundays run about 80% of the Saturday rate and Monday to Thursday about 60%. Halls fill late dates at about half price (The Palace sells dates inside 30 days from $3,500).
- **Large rooms:** a full room for 650–700 guests rents for about $11,000–15,000 (Hilton's Tennessee Ballroom $15,000; The Kent up to $15,000). Hotels price through food-and-drink minimums instead: the Peabody asks $18,000–32,000.
- **Catering:** buffets run about $18–35 a guest and plated meals $28–52, plus a 20–24% service charge (Esplanade 20%, Westin 22%, Peabody 23%).
- **What the model uses:** $5,500 average room rental per event across all days (it was $4,750), $32 a guest for catering, and a 20% service charge, half paid to event staff.

8. How many events a year (market research, October 2026)

- **220 a year is a third-year number:** halls that host mixed events (weddings plus corporate, church and community events) do about 100–200+ events a year, and an average venue about 217; wedding-only venues do 30–60. Couples book their venue 12–18 months ahead, so a new hall needs about three years to fill.
- **Most events are smaller than these rooms:** the average wedding has about 117 guests (The Knot 2026), and two rooms have only 104 Saturdays a year between them. That is why each main room gets a movable wall, and why the realistic case now averages 300 guests per event instead of 350.
- **Few large halls nearby:** no hall outside the hotels seating 500 or more was found in northeast Memphis, Raleigh or Bartlett. The nearest are in Cordova and Germantown (FedEx Event Center, about 500 seated; Esplanade, 400) and downtown (The Kent, 600), and the 900-seat ballroom at the former Memphis Vitality Hotel has closed.
- **Who books:** weddings of every background, quinceañeras (about 1,100–1,200 girls in the metro area's Hispanic community turn 15 each year), corporate events, church and community events, and cultural celebrations. Shelby County records roughly 4,600–5,300 marriages a year.

9. Building costs at Memphis prices, trade by trade (cost research, October 2026)

- **Memphis is cheaper to build in:** the RSMeans 2025 city cost index puts Memphis at 89.4 against a 30-city average of 100.
- **A general contractor adds 11–22%:** general conditions run about 6–12% and overhead and profit the rest; RSMeans model costs carry 25% for contractor fees. Owners who manage the job and hire each trade directly typically save about 5–16% of the general contractor's price, closer to 20% when equipment is bought directly or used. The model plans on about 12%.
- **What can't be cut:** sprinklers for assembly use, the voice fire alarm, kitchen hoods and grease interceptors, restroom fixture counts, heating and air for large crowds, accessibility upgrades and structural engineering.
- **Unit costs checked:** roof coating $2–4/SF against $6–14/SF to tear off and replace; rooftop units $2,400–4,200 per ton installed; sprinkler work $4–12/SF; fire alarms $3–8/SF plus 30–50% for voice evacuation; kitchens $250–400/SF, with used equipment 30–60% cheaper.

Where this could be too pessimistic, and too optimistic

The realistic case is a middle estimate built from public data, not from contractor quotes, surveys or signed tenants. These are the main reasons it could land higher or lower.

Too pessimistic if:

- **The floor is confirmed above 250 ft.** Lidar already points that way. Flood work then drops to the survey and dock-area fixes, and a FEMA map change could end mandatory flood insurance.
- **Trade prices come in under desk estimates.** The roof, heating and air, and parking lines are the biggest swing. County permits show about $250,000 of repairs in 2020 and a $424,000 alteration in 2012, so some systems may be newer than assumed. A roof that can be coated instead of replaced saves about $0.2–0.6M.
- **Prices reach the premium tier.** Once the halls have reviews, premium Memphis venues ask $10,000–12,000 for a 300–400 guest Saturday, and a full room for 650–700 guests rents for $11,000–15,000. The realistic case averages $5,500 per event across all days.
- **Hall demand beats 220 events a year.** Daytime and evening events on weekends, weekday corporate and church business, and lower off-peak prices can push bookings toward 260–300 once each room can be split. Large halls are thin in Jackson, MS, where the largest listed halls seat about 350. Each extra event a week across both halls adds about $295k a year of profit in the efficient plan, and at about 203 events a year it earns back the money to build it in about 12 years.
- **Few large halls compete nearby.** No hall outside the hotels seating 500 or more was found in northeast Memphis, Raleigh or Bartlett, and the 900-seat Vitality ballroom has closed.
- **Cheaper financing applies.** SBA 504 loans need the owners' business to occupy at least 51% of an existing building, and they need far less cash down than a bank loan. The halls alone are about 37% of the building; if the owners' company also runs the kids' center, it reaches about 52%.
- **The outparcels earn money.** A food pad on Summer Avenue and a credit fuel tenant add $100–230k a year in the best case.
- **The columns come out for less.** The low estimate is about $85k per column ($0.34M for four) if the roof framing makes the job simple.

Too optimistic if:

- **Shops lease slowly.** Retail sits deep in the site behind other buildings, and Summer Avenue is under construction until mid-2028. Twenty-two small shops can take years to fill.
- **Large as-is blocks sit empty.** The building is empty; its last tenants left in the third quarter of 2026. 80,000–125,000 SF of space in one place leases slowly in Memphis, and big-box vacancy rose in 2026 as furniture stores left and IKEA announced its Cordova store would close.
- **Bookings start slow.** A new venue has no track record, and couples book 12–18 months ahead, so the first two years run well below 220 events. Mid-market Memphis halls fill Saturdays only 3–9 months ahead and discount late dates, and hotel ballrooms, the Esplanade and The Columns compete for large events.
- **Most events are smaller than these rooms.** The average wedding has about 117 guests. Without the movable walls that split each room, bookings could stay near 120–160 a year.
- **The building hides costs.** A 1984 building converting to assembly use can need more fire alarm, exit, restroom and electrical work than estimated. Contingency covers some of this, not all.
- **One contractor does the whole job, or trade-by-trade savings fall short.** Managing the trades directly moves coordination risk onto the owners. If the work goes to one general contractor, the efficient plan costs about $1.8M more and takes about 12.7 years instead of 11.1 to earn back.
- **Removing the columns is harder than assumed.** The steel beams need sound footings at their ends and enough height under the roof. The high estimate is about $300k per column, or $1.2M for all four (about $441k per column through a general contractor).
- **The crowd-size rule triggers earthquake work.** Under the building code Shelby County uses, a building whose large assembly rooms (each over 300 people) add up to more than 2,500 people moves into a

stricter safety class. For an existing building that can mean earthquake strengthening, and Memphis sits near the New Madrid fault, so this could cost more than the column work. With tables and chairs the two halls hold about 1,470 people, below the line. Chairs-only ceremony seating would cross it, and the kids' center and dining can count too. The fix is to cap each hall's posted capacity, confirmed by the City and a structural engineer before any commitment.

- **The flood answer goes the wrong way.** If the survey finds the floor below 250 ft, or the dock area blocks a FEMA map change, flood work and insurance rise toward the worst case.
- **The fuel pad stays empty.** At realistic volumes a fuel company would keep only about $4 a year for every $100 it spends on a roughly $3.8M station, and the frontage parcel is also marketed on its own. Without the fuel and food pads, the efficient plan takes about 12 years to earn back the money to build it.

Assumptions and sources

The realistic case is a middle estimate built from public data, research and the building's own records. It is not built from contractor quotes, surveys or signed tenants. These are the main inputs.

What	Worst / realistic / best	Where it comes from
Building cost basis	Memphis prices; the ownership group manages the work and hires each trade: 5% / 12% / 18% below one general contractor	RSMeans 2025 city cost index (Memphis 89.4); general contractor fees 11–22% (RSMeans, Construction Executive)
Hall events, both halls together	120 / 220 / 260 a year (third-year level)	Mixed-use venues 100–200+ events a year, an average venue 217; about 60 / 110 / 130 per room
Average room rental per event	$4,000 / $5,500 / $7,250	Memphis rate cards: The Palace at Cordova $7,000 Saturday to $5,500 weekdays; The Columns $8,550; Cadre $12,200; Fridays and Sundays about 80% and weekdays about 60% of Saturday
In-house catering	35% / 55% / 60% of events; 250 / 300 / 380 guests; $25 / $32 / $35 a guest; service charge 18% / 20% / 22%, half paid to staff	Memphis buffets $18–35 and plated meals $28–52 a guest; service charges 20–24%; average wedding about 117 guests (The Knot 2026)
Food and catering staff	66% / 59% / 57% of catering sales	Catering cost guides: food 28–35%, labor 25–35%
Event-day staff (setup, cleaning, security)	$1,300 / $1,200 / $1,150 per event	Includes security guards and set-up and clean-up, as premium Memphis halls include them
Hall year-round costs	about $0.69M / $0.62M / $0.58M a year, equipment leased	Our estimate: managers, sales, utilities at $2.50–3.00/SF, insurance
Shop rent (efficient plan)	$10.50 / $12.50 / $15.00 per SF plus a share of costs; 70% / 85% / 92% leased	Memphis 2026 average asking rent $14.20 (Marcus & Millichap); Shelby Crossing II $10–11 plus $3.68 of shared costs
Flex rent	$5.50 / $6.50 / $8.00 per SF; 50% / 75% / 90% leased	Cushman & Wakefield Memphis, Q3 2026: $7.49 citywide, $10.50 in the Northeast
As-is space rent	$4.25 / $5.75 / $7.25 per SF	Large-box asking rents in Memphis: about $3–9
Kids' center rent	$3.00 / $4.50 / $7.50 per SF plus a share of costs	Playground operator economics; Kids Empire discloses $0.80–1.77M to open 15,000+ SF
Fuel pad ground rent	$0 / $95k / $160k a year	Pad ground rents: regional operators $80–130k, credit tenants $150–200k (Murphy USA, Murfreesboro: $200k)

What	Worst / realistic / best	Where it comes from
Roof	$10.99 / $5.48 / $1.46 per SF (full plan); $7.61 / $3.52 / $1.82 (efficient)	Silicone coating $2–4/SF; tear-off and replacement $6–14/SF (Construction Specifier, 2026)
Heating and air	about $2,960 / $2,190 / $1,680 per ton	Rooftop units $2,400–4,200 per ton installed (PickHVAC, 2026), at Memphis prices
Fire alarm with voice evacuation	$5.07 / $3.52 / $2.55 per SF	Fire alarms $3–8/SF for assembly use, plus 30–50% for voice evacuation
Hall finishes and kitchens (efficient)	$80 / $55 / $36 per SF and $338 / $235 / $164 per SF	Venue build-out $70–150/SF and kitchens $250–400/SF nationally, at Memphis prices, trade by trade
Movable walls	about $169k / $117k / $80k per main room	Allowance for an acoustic folding wall; a supplier quote is needed
Column removal	$300k / $175k / $85k per column	Cost build-up from 2025–26 steel prices without a general contractor's fee; contractor-delivered mid case $275k; closest documented job $207–480k per column
Design, permits and contingency	14–24% of the building work	Design and permits 6–9%; renovation contingency 8–15%
Property tax	about 2.11% of appraised value a year	City $2.58081 plus county $2.70 per $100, assessed at 40%
Insurance and upkeep	$0.40–0.65/SF plus $10–40k of flood insurance; upkeep $1.15–1.75/SF	Our estimate; insurance quotes needed

What changed in this version (model v2.4).

- Building costs are now at Memphis prices, with the ownership group managing the work and hiring each trade directly: about 12% below one general contractor in the realistic case. The cushion for surprises is unchanged, and the one-contractor version is shown for comparison.
- Column removal is budgeted at $175k per column ($0.7M for four), down from $275k ($1.1M) at contractor prices.
- Hall prices follow Memphis rate cards: $5,500 average room rental per event (was $4,750) and a 20% service charge on catering (new; half paid to event staff). Event-day staff rise to $1,200 per event to include security and set-up.
- Average guests per event fall to 300 (was 350), each main room gets a movable wall so it can host smaller events, and 220 events a year is treated as a third-year number for a mixed hall.

What changed since the first study. An independent review of the money model led to these corrections:

- Loans are now sized the way a lender would size them. This changes the cash the owners put in, not the profit before loan payments.
- The halls now set money aside to replace furniture and equipment, or lease them.
- Hall finishes and kitchens are raised to research levels ($70/SF and $300/SF at national contractor prices in the efficient plan, up from $50 and $225).
- The fire alarm is upgraded to voice evacuation, which crowds over 1,000 require.
- Column removal is added for the 4 columns inside the two hall rooms.
- The kids' center rent is lowered to $4.50/SF, so the operator still earns about 17.6% a year (about $193k after rent on $1.1M).

- Building costs during construction are no longer counted twice, and property tax is capped at what the finished building is worth.
- The hybrid now counts Hall B's own slow start and the as-is rent it gives up while Hall B is built.
- Fuel margins are updated to industry figures, and the fuel pad is flagged as uncertain.
- Results are shown in plain money terms (years to earn back, profit for every $100 spent) instead of finance ratios.

Sources

- FEMA Flood Map Service Center and USGS 3D Elevation Program: flood map and ground levels
- Shelby County Assessor, parcel 088066 00027: appraisal, building size, permits
- 44 CFR 65.5: FEMA map-change rules
- TDOT, Summer Avenue widening
- Hall prices: The Palace at Cordova rate card, The Historic Cadre Building, Memphis Botanic Garden 2026 rates, The Kent, The Columns at One Commerce Square, Esplanade Memphis and The Peabody
- Demand: The Knot 2026 Real Weddings Study, US wedding venue market report (MMCG, 2026), events a year at a typical venue (ProjectionHub), Memphis venue capacities (Memphis Magazine, August 2025) and CDC state marriage rates
- The Peabody capacity chart and The Guest House at Graceland: ceiling heights and rooms with columns
- Catering menu pricing (Galley Solutions) and BizBuySell catering benchmarks: catering costs and margins
- Kids Empire franchise disclosure (Franzy): playground opening costs
- Marcus & Millichap, Memphis retail Q3 2026, Shelby Crossing II and CityFeet Memphis listings: shop and box rents
- Cushman & Wakefield, Memphis industrial Q3 2026: flex rents
- Murphy USA ground lease, Murfreesboro and NACS key metrics 2026: fuel pad rent and fuel margins
- Building costs: RSMeans city cost index, Q4 2025, RSMeans model costs and contractor fees, general conditions 6–12% (Construction Executive), silicone coating vs. tear-off (Construction Specifier, 2026), rooftop unit cost per ton (PickHVAC, 2026) and steel supply and erection (Linbeck, Q3 2025)
- Venue build-out costs (Dojo Business) and tenant improvement costs (Terrapin): hall and kitchen fit-out
- Contingency for renovations (ConstructConnect)
- Column removal: Retail to Rinks, Tulsa (Modern Steel Construction), Christ Church of NWA (MBL Architects), Eagle Brook Church Anoka (BWBR), Chelsea Piers Connecticut (WSP) and Crossgates column-removal costs (ProCM)
- Crowd-size and earthquake rule: 2021 IBC structural changes (STRUCTURE magazine), Shelby County 2021 IBC with local amendments and USGS Memphis seismic hazard maps

Public version: prices, fees and transaction terms are omitted, and the purchase price is left out of every number. Everything here comes from public records, desk research and concept-level estimates; it is not legal, engineering or investment advice.